

travel, housing, or health care should expect their spending needs to keep closer pace with inflation.

Spending may decline, so I would not fault anyone for using assumptions of gradual real spending declines such as 10 percent or even 20 percent over the course of retirement. But pending further research developments, I would avoid moving too far in the reduced spending direction as a baseline assumption. Though the inflation-adjusted withdrawal assumption could be improved, it builds in reasonable conservatism and may not be too far off as a baseline for many retirees, even if the *average* retiree experience suggests otherwise.

With regard to constant inflation-adjusted spending patterns, there are two significant further issues that we will consider in later chapters. Chapter 6 considers the possibility that retirees may maintain flexibility to adjust spending in response to market fluctuations. We consider a number of different dynamic or variable spending strategies that have been proposed as alternatives to the basic assumption of constant inflation-adjusted spending. Chapter 8 further explores why retirees may have the flexibility to adjust spending by also considering household resources, such as Social Security and other pension income, held outside the investment portfolio. An increased capacity to maintain their lifestyle by relying on alternative income sources in the face of market volatility can allow retirees to be more aggressive with their portfolio spending and worry less about supporting constant inflation-adjusted withdrawals.